TUTORIAL QUESTIONS WITH GUIDED SOLUTIONS

ACC117

PART A State whether each of the following statements is True or False.

1. Owners of business firms are the only people who need accounting information.

2. Financial statements serve as the main tools for communicating accounting information to interested users.

3. Bookkeeping and accounting are one and the same because the bookkeeping function includes the accounting process.

4. A company is owned by at least two persons with a common objective of making a profit.

5. Salina, the owner of Saly Enterprise, would like to record her personal car as the business's asset. This is against the economic entity concept.

6. The historical cost concept states that the business will remain in operation for the foreseeable future.

7. Comparability allows users to make comparisons across financial statements.

8. The two fundamental qualitative characteristics are faithful representation and comparability.

9. The purchase of office equipment on credit increases total assets and total liabilities.

10. The cash discount is an allowance given by the seller to the buyer to buy in large quantities.

ANS:

1.F 2.T 3. F 4.F 5.T 6.F 7.T 8.F 9.T 10. F

PART B
This part consists of TEN (10) multiple-choice questions. Choose the most suitable answer.

1. Bookkeeping primarily involves which of the following parts of the accounting process?
   a. Identification.
   b. Communication.
   c. Recording.
   d. Analysis

2. Which of the following would not be considered an external user of accounting data for the Sendayu Berhad?
   a. Taxing authority representative.
   b. Management.
   c. Creditors.
   d. Customers.

3. A business organized as a company _____.
   a. is not a separate legal entity in most countries.
   b. requires that shareholders be personally liable for the debts of the business.
   c. is owned by its shareholders.
   d. terminates when one of its original shareholders dies.

4. Recording of economic events involves _____.
   a. keeping a systematic, chronological diary of events.
   b. analyzing reported information.
   c. explaining the meaning of reported data.
   d. preparing accounting reports.

5. The historical cost concept requires that companies record assets at their _____.
   a. appraisal value.
   b. list price.
   c. market price.
   d. original cost.

6. Which one of the following is not an enhancing quality of useful information?
   a. Timelines
   b. Understandability
   c. Monetary measurement
   d. Comparability

7. Which accounting concepts assumes that an enterprise will continue in operation long enough to carry out its existing objectives and commitment?
a. Money measurement concept.
b. Economic entity concept.
c. Historical cost concept.
d. Going concern concept.

8. Megah Holding reported RM5 million for sales when it only had RM2 million of actual sales. Which of the following qualities of useful information has company most likely violated?
a. Faithful representation
b. Relevance
c. Comparability
d. Consistency

9. Which of the following statements is true?
a. Debits increase assets and increase liabilities.
b. Credits decrease assets and decrease liabilities.
c. Credits decrease assets and increase liabilities.
d. Debits decrease liabilities and decrease assets.

10. An account will have a debit balance if the _____.
a. credits exceed the debits.
b. debits exceed the credits.
c. first transaction entered was a credit.
d. last transaction entered was a credit.

Ans:

PART B

1. C 2. B 3. C 4. A 5. D 6. C 7. D 8. A 9. C 10. B

PART C

Iridescent Light Trading is a sole proprietorship business owned by Sumi, that trades in lamps and chandeliers. The following business transactions occurred throughout the month of September 2024.

DATE	TRANSACTIONS
2	Sumi injected RM30,000 cash into the business.
3	The business bought several pieces of furniture worth RM5,000 to display the merchandise on the premise on a cash basis.
6	RM5,000 worth of chandeliers was purchased on credit from All Light Co. The business was given a 5% trade discount on the purchase value.
7	A further cash purchase of lightbulbs and table lamps for RM2,000 was made.
10	The business returned RM800 worth of table lamps, which were purchased on 7 September 2024, to the supplier due to wrong specifications.
11	The business sold RM2,800 of chandeliers to Rare Café Enterprise on a credit basis. The credit term given was 5/15, net 30.
14	The business fully paid the amount due to All Light Co. using a cheque.
16	Aisyah purchased a few lightbulbs worth RM150 using cash from the business.
19	Rare Café Enterprise returned RM500 worth of defective chandeliers.
22	The business paid rent worth RM800 using cheques.
24	Rare Café Enterprise made a full settlement using a cheque.
26	Sumi took RM250 worth of table lamps and RM100 cash to use as a gift for her best friend at her birthday party.
27	The business took a loan of RM50,000 from Bank Tegas.
29	The business received RM300 worth of commission in cash.

Required:

a. Illustrate the effects (increase/decrease) on **asset**, **liability**, **owner's equity**, **revenue** and **expense** of the above transactions.

(15 marks)

b. Show the journal entry (debit or credit) of the above transactions.

(15 marks)
(Total: 30 marks)

(Use the format given below to answer the above questions)

	a. Effects		b. Journal Entries	
Date	Increase	Decrease	Debit	Credit

ANS:

	a. Effects		**b. Journal Entries**	
Date	**Increase**	**Decrease**	**Debit**	**Credit**
2	Asset Owner's equity		Cash	Capital
3	Asset	Asset	Furniture	Cash
6	Expense Liability		Purchases	AC Payable (All Light Co.)
7	Expense	Asset	Purchases	Cash
10	Asset	Expense	Cash	Purchase Return
11	Asset Revenue		AC Receivable (Rare Café Ent)	Sales
14		Asset Liability	AC Payable (All Light Co.)	Bank
16	Asset Revenue		Cash	Sales
19		Revenue Asset	Sales Return	AC Receivable (Rare Café Ent)
22	Expense	Asset	Rent Expense	Bank

24	Asset	Asset Revenue	Bank Discount Allowed	AC Receivable (Rare Café Ent)
26		Asset Expense Owner's equity	Drawings	Cash Purchases
27	Asset Liability		Bank	Loan
29	Asset Revenue		Cash	Commission Received